

MODULE 01 • START HERE

Market Basics

The vocabulary every trade is built on — indexes, ETFs, futures, sessions, and the quiet mechanics of bid, ask, and liquidity that decide the price you actually get.

BEGINNER

18 MIN READ

NO PREREQUISITES



BY THE END, YOU WILL BE ABLE TO

01

Tell **SPY, SPX & ES** apart and know which is which

02

Read the **trading day** — premarket, regular, after-hours

03

Understand how **spread & liquidity** shape your fill

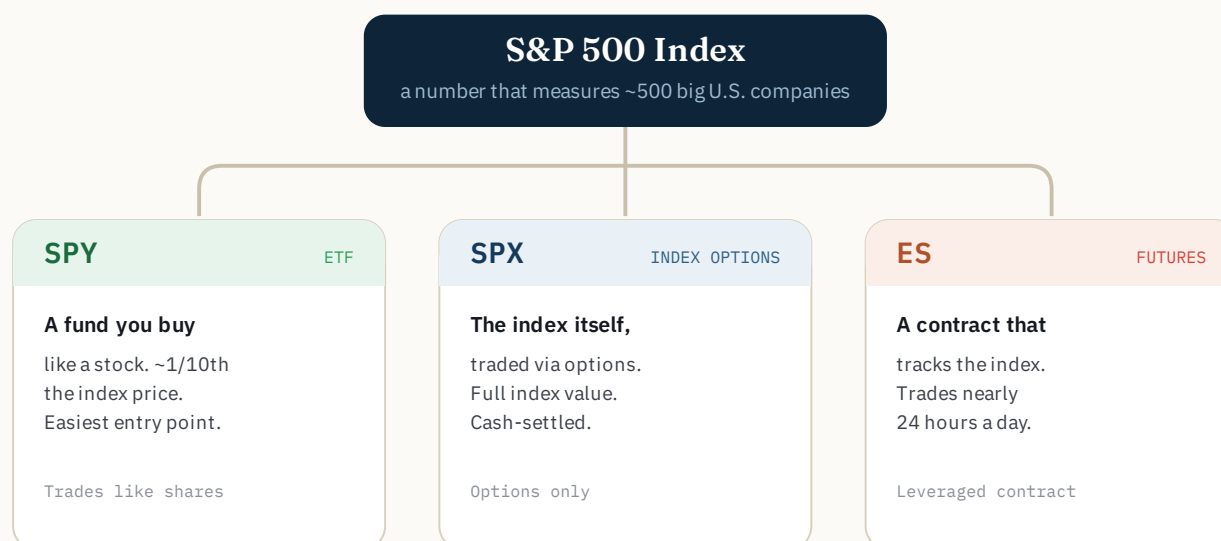
01 WHAT A MARKET IS, REALLY

An index is a number, not a thing you buy

Before any candle or indicator, get this one idea straight — it removes most beginner confusion in a single step.

When people say “the S&P 500” they mean an **index**: a single number that tracks the combined value of about 500 of the largest U.S. companies. It is a *measurement* — like a thermometer reading. You cannot buy the temperature, and you cannot buy an index directly either.

Instead, traders buy and sell **products that are designed to track that index**. The same S&P 500 can be traded through several different products, and each behaves a little differently. That is the source of the famous beginner question: “*What’s the difference between SPY, SPX, and ES?*” They are three doors into the same room.



◆ KEY IDEA

You never trade “the S&P 500.” You trade a **product** — SPY, SPX, ES, or another — that is built to follow it. Same underlying market, different rules, sizes, and hours.

02 THE THREE DOORS, SIDE BY SIDE

SPY, SPX & ES at a glance

All three follow the S&P 500. Where they differ is price, hours, how they settle, and how much one “point” is worth.

	SPY ETF	SPX Index options	ES Futures
What it is	A fund that holds the stocks	The index value itself	A contract to settle later
Roughly priced at	~1/10 of the index	The full index level	The full index level
How you trade it	Shares (and its options)	Options only	The contract (and its options)
Trading hours	Stock hours + extended	Stock hours	Nearly 24 / 5
Settlement	You hold real shares	Cash, no shares change hands	Cash / rolls to next contract
Leverage built in?	No	No (options have their own)	Yes — controls a large value
Best first step for	Most beginners	Larger index options trades	Overnight & futures traders

■ WHY SPY FEELS “CHEAPER”

If the index is near **5,800**, SPY trades near **580**. It is not a discount — it is just scaled to about one-tenth, so each share moves about one-tenth as many dollars.

▲ COMMON MIX-UP

SPY and SPX are **not** interchangeable. Their option contracts settle differently and on different schedules. Learn one product well before adding another.

Most people reading this should think in terms of **SPY** first. It behaves like a stock, the dollar amounts are approachable, and everything you learn about candles, trend, and risk transfers directly to the other products later.

03 TWO WRAPPERS, PLAIN ENGLISH

What an ETF and a future actually are

You met the names on the last page. Here is the intuition behind the two that trip up beginners most.

E ETF

An **Exchange-Traded Fund** is a single basket that holds many things at once — for SPY, all 500 companies. You buy one share of the basket and instantly own a sliver of the whole index.

- ◆ Trades all day like an ordinary stock
- ◆ One share = a tiny slice of every holding
- ◆ You really own it; you can hold it for years

F Future

A **futures contract** is an agreement whose value rises and falls with the index. A small deposit (margin) controls a large position — that is **leverage**, and it cuts both ways.

- ◆ Trades nearly around the clock, 5 days a week
- ◆ A little money controls a lot of value
- ◆ Gains *and* losses are magnified

LEVERAGE, VISUALLY — SAME \$1 MOVE IN THE INDEX

SPY share



small, steady dollar change

ES contract



much larger swing

The index moved the same amount in both rows — leverage decides how many of your dollars that represents.

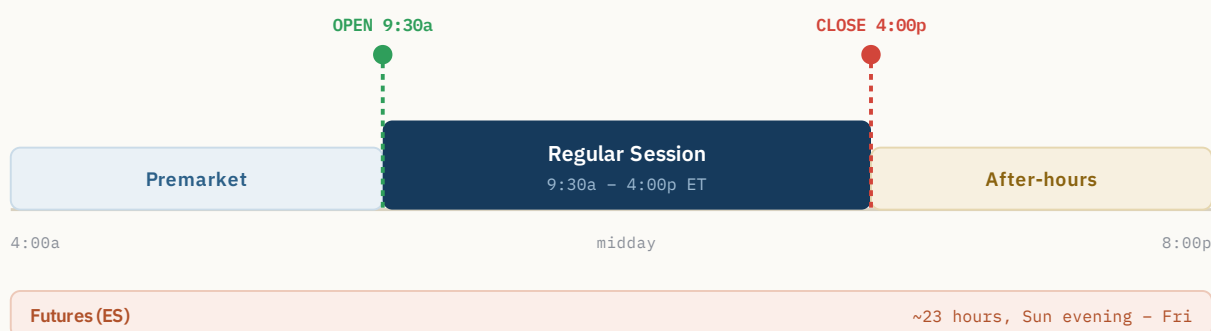
▲ WATCH OUT

Leverage is why futures can feel exciting and why beginners blow up accounts. The contract doesn't move faster — your **money** does. Treat ES as advanced and respect the size behind one contract.

04 WHEN THE MARKET IS OPEN

Premarket, regular hours & after-hours

The U.S. stock market has a real opening bell and closing bell. What happens around them matters as much as the hours between.



PREMARKET

Before the bell. Reacts to overnight news and earnings, but trading is **thinner** — prices can jump.

REGULAR SESSION

The main event, **9:30–16:00 ET**. Most volume, tightest spreads, cleanest price action.

AFTER-HOURS

After the bell. Earnings hit here. Again **thin** — a single order can move price more than usual.

■ IN PLAIN ENGLISH

The phrase **“the close”** almost always means **4:00 PM ET**, the regular-session closing bell. When a later module says “wait for the close,” it means a candle’s close — but the day’s close is this bell. Outside regular hours, expect wider spreads and faster, choppy moves.

05 THE PRICE BEHIND “THE PRICE”

Bid, ask & the spread

There isn't one price — there are always two. Knowing which is which is the first step to understanding your fill.

SIZE	PRICE
320	580.12
150	580.11
410	580.10
THE SPREAD \$0.02	
505	580.08
240	580.07
300	580.06

▲ ASK — sellers wait here
▼ BID — buyers wait here

Bid — the highest price a buyer is currently willing to pay. If you **sell right now**, this is what you get.

Ask (or offer) — the lowest price a seller will accept. If you **buy right now**, this is what you pay.

Spread — the gap between them. Here it's **\$0.02**. The narrower it is, the cheaper it is to get in and out.

◆ KEY IDEA

Buy at the ask, sell at the bid. The moment you enter, you are slightly “down” by the spread. It is a real, recurring cost — not a glitch.

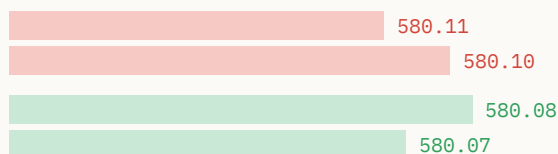
The **last price** you see quoted is simply where the most recent trade happened — somewhere between bid and ask. It is history. The bid and ask are what you can act on *now*.

06 WHY YOUR FILL CAN DIFFER

Liquidity & slippage

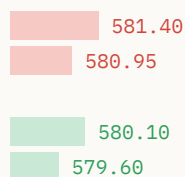
Liquidity is how easily you can trade without moving the price. It's the difference between the price you expect and the price you get.

DEEP • LIQUID



Tight spread, big sizes at every level. Your order fills right where you expect. **Example: SPY midday.**

THIN • ILLIQUID



Wide spread, small sizes, big gaps. Your order can fill far away. **Example: premarket / odd ticker.**

SLIPPAGE — A MARKET ORDER “WALKS UP” A THIN BOOK



■ LIMIT ORDER

Names the worst price you'll accept. Protects you from slippage — but may not fill.

▲ MARKET ORDER

Fills *now* at whatever price exists. In a thin book, that can be far from what you saw.

This is why traders favor **liquid products in regular hours**: tighter spreads and deeper books mean the price you click is much closer to the price you receive.

07 LOCK IT IN

What to carry forward

Six ideas from this module that every later lesson — candles, trend, risk, options — quietly assumes you already know.

- 1 An index is a measurement; you trade **products** that track it.
- 2 **SPY** = ETF (start here), **SPX** = index options, **ES** = futures.
- 3 Futures carry **leverage** — same move, much bigger dollar swing.
- 4 The **regular session** (9:30–4:00 ET) has the cleanest pricing.
- 5 Every quote has a **bid and an ask**; the spread is a real cost.
- 6 **Liquidity** decides how close your fill is to the price you saw.

A-Z QUICK GLOSSARY

Index

A number that measures a basket of stocks (e.g. S&P 500). Not directly tradable.

Future

A leveraged contract that tracks an index and trades nearly 24/5.

Spread

The gap between bid and ask — a built-in cost to enter and exit.

Slippage

The gap between the price you expected and the price you got.

ETF

A fund that trades like a stock; one share = a slice of everything it holds.

Bid / Ask

Highest price a buyer will pay / lowest a seller will take, right now.

Liquidity

How easily you can trade without moving the price.

Regular session

9:30a–4:00p ET — most volume, tightest spreads.

UP NEXT IN THE PATH

Candlestick Basics

Read bodies, wicks, and why the close matters.

02